

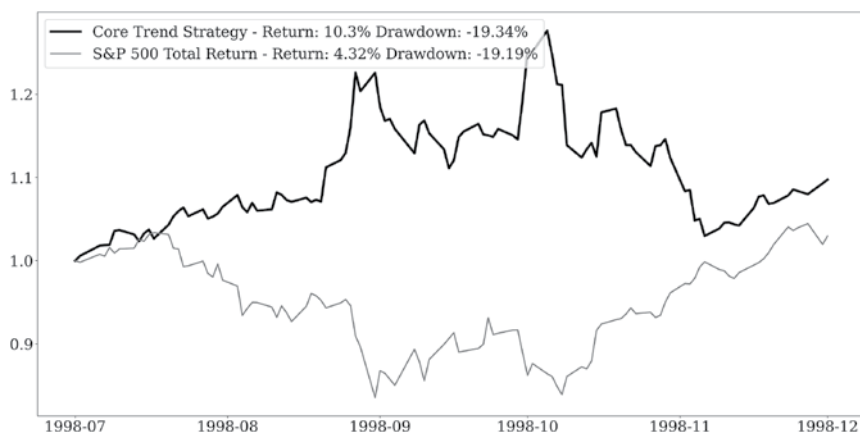


FIGURE 5.4 The LTCM blow-up of 1998.



FIGURE 5.5 The dot.com crash.

to make money from anything. But once again, trend following to the rescue. When the stock markets started falling in earnest, trend following did the opposite. The model was already short stocks, long bonds, and ready to profit from further declines. All in all, the stock markets lost nearly half its value during this phase, at -47.5%. At the same time, during all of this blood on the street, the trend-following model managed to double the money. That's right, while stock markets lost half, trend following doubled.

But there is of course a more recent market crash, one which most readers of this book likely traded through and still have traumatic memories of, the so-called Global Financial Crisis (GFC) of 2008. Well, Figure 5.6 speaks for itself. This was a horrible year for almost anything, but trend following